

Reform Democrats of the New Commonwealth · Project ARA 2028
Legislative Ecosystem Document Leg08 of Leg14

Digital Rights and Data Fiduciary Act of 2029

Bill Framework & Legislative Brief

Phase II · Track B · Sectoral Legislation · Phase II · Track B · Year 3-5

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All provisions marked [TBD] — including dollar amounts, specific IRC section numbers, penalty thresholds, appropriation amounts, and CBO scoring figures — require resolution by licensed legislative drafting counsel (the Office of Legislative Counsel for the House or Senate, as applicable), relevant agency technical staff, and the Congressional Budget Office before introduction as formal legislation.

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Consultation with licensed legislative counsel, the Federal Trade Commission Office of General Counsel, the Department of Justice Office of Legal Counsel, the National Telecommunications and Information Administration, the Congressional Budget Office, and Senate Commerce and Judiciary Committee constitutional counsel is required before any framework in this series may be introduced as formal legislation. Distribution is subject to RDNC classification protocols (REF_ layer: internal use and trusted partners only).

Phase II · Track B · Sectoral Legislation · Bill 7

Part I — Legislative Brief

Data is the raw material of the modern economy. Americans generate it. Platforms monetize it. The law has not kept pace. This bill establishes a comprehensive data fiduciary framework with portability, consent, enforcement, compensation, and minor protection provisions. Title V Tier Two minor protection is redesigned from categorical algorithmic-feed prohibition to default-chronological-with-opt-in per the Part III directive — implementing the constitutionally durable architecture in operative bill text. Sec 3(g) four-track severability ensures Titles I-IV survive independently if Title V is held invalid.

AT A GLANCE

Bill Title	Digital Rights and Data Fiduciary Act of 2029
Short Title (Cite As)	The DRDO Act of 2029

Legislative Vehicle	Standalone Legislation — 60-vote Senate threshold
Phase / Track	Phase II · Track B · Year 3–5
Primary Committees	Senate Commerce, Science, and Transportation; Senate Judiciary
Dependencies	Executive Order 2 (Data Transparency baseline) operational; public awareness of data economy established through Phase I
Core Framing	"Companies that hold your data hold it in trust for you — they cannot use it, sell it, or profit from it without your permission."
GDPR Alignment	Deliberately designed to align with the EU General Data Protection Regulation to reduce compliance complexity and leverage existing global compliance infrastructure
Constitutional / Statutory Risk	First Amendment exposure (Moody v. NetChoice / Sorrell / Zauderer-NIFLA / 303 Creative); Takings exposure (Ruckelshaus / Cedar Point) on Title IV compensation; Loper Bright statutory precision pressure across FTC rulemaking
Architecture	Architecture C-equivalent (body-baked safety) — Sec 504 Tier Two redesigned to default-chronological-with-opt-in per Part III directive; Sec 3 Statutory Foundation binding First Amendment / Takings / data-fiduciary distinctions; Sec 3(g) severability preserves Titles I–IV if Title V struck

What This Bill Does:

- 1. Establishes data portability rights.** Americans have the right to request, receive, and transfer their personal data in a standardized, machine-readable format, increasing competition by lowering switching costs. Scope limited to user-provided and observed data; excludes platform inferences and algorithmic outputs (303 Creative compliance).
- 2. Mandates meaningful consent enforcement.** Data collection requires specific, informed, freely given, and revocable consent. Pre-checked boxes, buried terms of service, dark patterns, and consent-or-be-denied-access requirements are prohibited.
- 3. Criminalizes mass unauthorized data harvesting.** Platforms that collect, sell, or share personal data without proper consent face revenue-scaled civil penalties and criminal penalties for willful violations. FTC enforcement with express civil penalty authority following AMG Capital Management.
- 4. Establishes a data compensation framework.** Where personal data is used for commercial purposes beyond a platform's core service, users are entitled to notice and, in qualifying circumstances, compensation. Structured as regulatory pricing analogous to FCC rate regulation and compulsory copyright licensing — not as property regulation.
- 5. Establishes Digital Minor Protection Standards (Title V).** Three-tier framework: under-13 (enhanced COPPA, no algorithmic feed, no behavioral advertising); 13–15 (default chronological with opt-in to algorithmic feed plus parental notification); 16–17 (default chronological, opt-in to algorithmic with affirmative consent). The 13–15 tier is redesigned from categorical prohibition to default-rule architecture per Part III directive — preserving user choice and reducing First Amendment exposure.
- 6. Constitutional Foundation with Severability Architecture.** Sec 3 binds the First Amendment framework, Moody v. NetChoice distinction, Title I conduct-regulation framing, data-fiduciary characterization, and Loper Bright statutory precision in operative bill text. Sec 3(g) provides four-track severability — if Title V is struck, Titles I–IV survive independently.

ATTACK SURFACE	"Innovation-killing regulation." "GDPR-style compliance burden." "Kills small businesses." "Too complex to enforce." "First Amendment violation on minor protection." Tech industry will oppose; data brokers will oppose more fiercely. The Mississippi/Utah/Arkansas/Ohio injunction landscape on categorical-prohibition state schemes will be cited against Title V.
DEFENSE STRATEGY	Frame as pro-competition, not anti-business. Portability reduces platform lock-in and helps smaller competitors. EU alignment: "If European companies can comply with GDPR, American companies can comply with DRDO." Start enforcement with the largest platforms (revenue threshold, Sec 4(c)). On Title V: emphasize the redesign — DRDO does NOT prohibit algorithmic feeds for 13–15; it requires opt-in with parental notification, preserving user choice. This is default-rule architecture, not the categorical prohibition struck in every litigated state scheme.
FALLBACK POSITION	If Title IV (compensation framework) faces opposition, it can be removed while preserving portability, consent, and minor protection provisions — Sec 3(g)(2) severability ensures that. Those titles alone are a meaningful win. If Title V (minor protection) faces challenge despite the redesign, Sec 3(g)(1) severability preserves Titles I–IV; Title V can be re-introduced in subsequent Congress with further-revised architecture if struck. Compensation framework returns in Phase III.

The Doctrinal Posture. The data-fiduciary characterization is the durable First Amendment framework for personal-data regulation — generally applicable fiduciary duties rather than content- or speaker-specific restrictions, consistent with *Sorrell v. IMS Health* (2011). The Title V Tier Two redesign from categorical prohibition to default-chronological-with-opt-in implements the Part III directive in operative bill text, distinguishing DRDO from the Mississippi / Utah / Arkansas / Ohio schemes that have been multiply enjoined. CAADCA Round 2 (*NetChoice v. Bonta*, 9th Cir. Mar. 2026) controlling rule applied throughout.

60-Vote Strategy. Senate Commerce and Judiciary pre-introduction meetings required. The bipartisan case rests on rural and small-business consumer protection (consent and portability), parental rights (Title V opt-in with notification), and EU compliance-cost reduction for American businesses already operating in European markets. DOJ Office of Legal Counsel review recommended on Title V architecture given the litigated state-scheme injunction landscape. FTC pre-introduction consultation required on rulemaking authority and AMG Capital civil-penalty authority.

Part II — Bill Framework

This is the structural scaffold of the bill. Penalty thresholds, percentage rates, employee-count cutoffs, duration thresholds, and IRC section cross-references are flagged as [TBD] where they require licensed legislative counsel, the Federal Trade Commission Office of General Counsel, the Department of Justice Office of Legal Counsel, the National Telecommunications and Information Administration, and the Congressional Budget Office review before introduction. Sec 3 Statutory Foundation binds the First Amendment / Takings / data-fiduciary architecture in operative bill text; Sec 504 implements the body-baked safe architecture for Tier Two minor protections; Sec 3(g) four-track severability preserves Titles I–IV independently of Title V.

119TH CONGRESS 1ST SESSION S. ____

To establish rights of data portability and meaningful consent for consumers; to provide that covered entities hold personal data as fiduciaries; to prohibit unauthorized commercial collection and use of personal data; to establish a framework for data compensation structured as regulatory pricing; to protect minor users from algorithmic harm through default-rule architecture; to bind in operative bill text the constitutional construction and severability of this Act; and for other purposes.

A B I L L

Be it enacted by the Senate and House of Representatives of the United States of America in Congress assembled,

SEC. 1. SHORT TITLE.

This Act may be cited as the "Digital Rights and Data Fiduciary Act of 2029" or the "DRDO Act of 2029".

SEC. 2. FINDINGS AND PURPOSE.

(a) FINDINGS.—Congress finds the following:

- (1) Americans generate enormous quantities of personal data through ordinary digital activity. Platforms monetize that data with minimal legal obligation to the individuals who created it.
- (2) Existing Federal law provides no general right to data portability, no uniform meaningful consent standard, no civil remedy for mass unauthorized data harvesting, and no comprehensive framework for the commercial use of personal data.
- (3) The European Union General Data Protection Regulation (2018), the United Kingdom Age Appropriate Design Code (2021), and the American Privacy Rights Act (H.R. 8818, 118th Congress, 2024) together establish the international and domestic legislative precedent for data fiduciary frameworks.
- (4) Peer-reviewed research establishes a causal relationship between algorithmic social media engagement optimization and documented harms to adolescent mental health, including findings published by the American Psychological Association and the Office of the Surgeon General of the United States.
- (5) The Supreme Court has repeatedly affirmed that personal data regulation is permissible when narrowly drawn and grounded in generally applicable fiduciary obligations rather than content- or speaker-specific restrictions, consistent with *Sorrell v. IMS Health, Inc.*, 564 U.S. 552 (2011).
- (6) The data-fiduciary characterization — under which covered

entities hold personal data as fiduciaries for the benefit of the individuals from whom the data was collected – establishes a generally applicable legal duty rather than a content- or speaker-specific restriction, and is the architecture endorsed in scholarly literature as the durable First Amendment framework for personal-data regulation.

(7) Default rules that preserve user choice and require affirmative opt-in for algorithmic personalization protect minor users from documented harms while raising materially fewer First Amendment questions than categorical prohibitions on protected expression.

(8) Data portability, when limited to user-provided and observed data and excluding platform inferences and algorithmic outputs, regulates the transmission of the user's own data rather than compelling the platform's expressive content, and is therefore analyzed as conduct regulation rather than compelled commercial speech.

(9) Compensation frameworks for the commercial use of personal data beyond a platform's core service operate as regulatory pricing analogous to the Federal Communications Commission rate regulation framework and to compulsory copyright licensing under sections 111 and 115 of title 17, United States Code, not as Takings of platform property, because platforms hold personal data as fiduciaries and not as property owners.

(10) Coordination with the European Union General Data Protection Regulation reduces compliance burden on covered entities operating in both jurisdictions and leverages existing global compliance infrastructure.

(b) PURPOSES.—The purposes of this Act are—

(1) to establish rights of data portability, meaningful consent, and protection from unauthorized commercial collection and use of personal data;

(2) to provide that covered entities hold personal data as fiduciaries for the benefit of the individuals from whom the data was collected, consistent with generally applicable fiduciary obligations;

(3) to establish a framework for compensation where personal data is used for commercial purposes beyond a platform's core service, structured as regulatory pricing rather than property regulation;

(4) to protect minor users from algorithmic engagement optimization and behavioral advertising through default-rule architecture that preserves user choice while requiring affirmative opt-in for algorithmic personalization;

(5) to establish enforcement authority in the Federal Trade Commission with express statutory civil penalty authority following *AMG Capital Management, LLC v. FTC*, 593 U.S. 67 (2021);

(6) to align this Act with the European Union General Data Protection Regulation and other major international data protection frameworks; and

(7) to provide severability such that Titles I through IV survive independently if Title V is held invalid in whole or in part.

SEC. 3. STATUTORY FOUNDATION AND CONSTRUCTION.

(a) FIRST AMENDMENT FRAMEWORK.—This Act regulates the fiduciary obligations of covered entities with respect to personal data and the conduct of personal data collection, transmission, and use. This Act does not regulate the content of expression, the identity of the speaker, or the viewpoint expressed. The fiduciary duties established under this Act are generally applicable obligations grounded in the relationship between a covered entity and the individuals from whom personal data is collected,

consistent with the framework articulated in *Sorrell v. IMS Health, Inc.*, 564 U.S. 552 (2011).

(b) **DISTINCTION FROM EDITORIAL EXPRESSION.**—The provisions of this Act do not regulate the editorial expression of any covered entity. *Moody v. NetChoice, LLC*, 603 U.S. 707 (2024), held that platform content curation may constitute First Amendment-protected editorial expression. This Act does not require, prohibit, or condition any editorial judgment by any covered entity. The default-rule architecture of section 504 preserves user choice and requires affirmative user opt-in for algorithmic personalization, which is conduct regulation analogous to default rules rather than restriction on protected editorial expression.

(c) **DATA PORTABILITY AS CONDUCT REGULATION.**—The data portability provisions of Title I regulate the transmission of user-provided and observed data – data that the user has supplied to the covered entity or that the covered entity has observed in connection with the user's activity. Title I does not extend to platform inferences, algorithmic outputs, or other expressive content of the covered entity. Title I is analyzed as conduct regulation rather than compelled commercial speech, and where any disclosure is required, that disclosure is of purely factual and uncontroversial information consistent with *Zauderer v. Office of Disciplinary Counsel*, 471 U.S. 626 (1985), as narrowed by *NIFLA v. Becerra*, 585 U.S. 755 (2018).

(d) **DATA FIDUCIARY CHARACTERIZATION.**—Covered entities hold personal data as fiduciaries for the benefit of the individuals from whom the data was collected. Collection does not confer ownership, possessory interest, or property interest upon the covered entity. The fiduciary characterization is a condition of operating in the regulated personal data industry, consistent with the professional-regulation tradition that has not required Takings analysis under *Ruckelshaus v. Monsanto Co.*, 467 U.S. 986 (1984). The compensation framework of Title IV operates as regulatory pricing analogous to Federal Communications Commission rate regulation and compulsory copyright licensing, not as a property taking.

(e) **STATUTORY PRECISION REQUIREMENT.**—Following *Loper Bright Enterprises v. Raimondo*, 603 U.S. 369 (2024), provisions of this Act shall be construed according to their statutory text. Where this Act delegates rulemaking authority to the Federal Trade Commission or any other agency, that authority is bounded by the express terms of the delegation. Ambiguities shall be resolved by reference to statutory text, structure, and purpose, and no agency may expand its authority under this Act beyond what is expressly conferred.

(f) **FTC EXPRESS CIVIL PENALTY AUTHORITY.**—Following *AMG Capital Management, LLC v. FTC*, 593 U.S. 67 (2021), the Federal Trade Commission requires express statutory authority for civil penalty assessment. Section 301 expressly vests such authority in the Commission for violations of this Act, and the Commission shall not be required to obtain such authority by separate statutory action.

(g) **SEVERABILITY.**—If any provision of this Act, or the application of any provision to any person or circumstance, is held to be invalid, the remaining provisions of this Act and the application of those provisions to other persons or circumstances shall not be affected. In particular—

- (1) if any provision of Title V (Digital Minor Protection Standards) is held invalid, Titles I through IV shall remain in full force and effect as an independent regulatory scheme;
- (2) if any provision of Title IV (Compensation Framework) is held invalid, Titles I, II, III, and V shall remain in full force and effect;
- (3) if any provision of Title I (Data Portability) is held invalid, Titles II through V shall remain in full force and effect; and

(4) if any specific consent mechanism prescribed under Title II is held invalid, the meaningful-consent standard established under Title II shall remain in force, and the Federal Trade Commission may, by rulemaking, establish alternative compliant mechanisms.

(h) GDPR ALIGNMENT.—This Act is intended to align with the European Union General Data Protection Regulation to the extent consistent with United States constitutional and statutory law. Where definitions and operative standards under this Act are susceptible of multiple constructions, the construction that aligns with the General Data Protection Regulation is preferred, provided such construction is consistent with this Act's text and purpose.

SEC. 4. DEFINITIONS.

In this Act:

(a) ALGORITHMIC FEED.—The term "algorithmic feed" means a presentation of content to a user in an order determined in whole or in part by automated systems based on the user's predicted engagement, behavior, interests, or attributes, as distinct from chronological, reverse-chronological, or user-curated presentation orders.

(b) BEHAVIORAL ADVERTISING.—The term "behavioral advertising" means the delivery of advertising to a user based on data collected from the user's online behavior, including browsing history, application usage, location data, search history, and inferred attributes derived from such data. The term does not include contextual advertising based on the content the user is viewing at the time the advertisement is delivered.

(c) COVERED ENTITY.—The term "covered entity" means any person that—

- (1) collects, maintains, or processes personal data of more than [TBD] individuals in any 12-month period; or
- (2) derives more than 50 percent of its revenue from the sale or commercial use of personal data.

The term excludes any sole proprietor, any nonprofit organization with annual revenue under \$[TBD], and any entity whose annual revenue is less than \$25,000,000.

(d) DARK PATTERNS.—The term "dark patterns" means user interface designs that have the substantial effect of subverting or impairing user autonomy, decision-making, or choice, including but not limited to—

- (1) pre-checked consent boxes;
- (2) consent flows that require affirmative action to decline but passive action to accept;
- (3) burying material consent provisions in lengthy terms of service;
- (4) repeated re-prompting after a user has declined consent; and
- (5) interface designs that obscure or de-emphasize the option to decline.

(e) DATA FIDUCIARY.—The term "data fiduciary" means a covered entity that, by collecting or maintaining personal data, holds that data subject to the fiduciary duties established under section 5 for the benefit of the individuals from whom the data was collected.

(f) INFERRED DATA.—The term "inferred data" means data generated by a covered entity through analysis of user-provided data or observed data, including predicted attributes, scoring outputs, profile classifications, and algorithmic decisions about the user.

(g) MEANINGFUL CONSENT.—The term "meaningful consent" means consent that is specific to a particular use, informed by clear and prominent disclosure of the use, freely given without coercion or dark patterns, and revocable at any time without penalty or impairment of the user's ability to use the covered entity's core service.

(h) MINOR.—The term "minor" means an individual under 18 years of age.

The term is further subdivided by section 502 into three age tiers for purposes of Title V.

(i) OBSERVED DATA.—The term "observed data" means data collected by a covered entity through observation of a user's interaction with the covered entity's services, including but not limited to clickstream data, location data collected during use of the service, device identifiers, and usage telemetry. The term does not include inferred data.

(j) PERSONAL DATA.—The term "personal data" means any information that, alone or in combination with other information, identifies, relates to, describes, is reasonably capable of being associated with, or could reasonably be linked, directly or indirectly, with a particular individual.

(k) USER-PROVIDED DATA.—The term "user-provided data" means data affirmatively supplied by a user to a covered entity, including information entered into account profiles, content uploaded or posted by the user, and information submitted in forms or transactions. The term does not include observed data or inferred data.

(l) FTC.—The term "FTC" or "Commission" means the Federal Trade Commission.

SEC. 5. DATA FIDUCIARY STANDARD.

(a) ESTABLISHMENT OF FIDUCIARY RELATIONSHIP.—A covered entity that collects or holds personal data of an individual holds that data as a fiduciary for the benefit of that individual.

(b) DUTY OF CARE.—A data fiduciary shall exercise reasonable care to protect personal data from unauthorized access, disclosure, alteration, or misuse, including by—

- (1) implementing reasonable technical and organizational security measures;
- (2) limiting access to personal data to personnel with a legitimate operational need;
- (3) maintaining current security practices in accordance with evolving industry standards; and
- (4) timely notification of affected individuals and the Commission in the event of a security breach affecting personal data.

(c) DUTY OF LOYALTY.—A data fiduciary shall use personal data only for purposes consistent with the meaningful consent provided under Title II, and shall not use personal data in any manner that—

- (1) is materially adverse to the interests of the individual from whom the data was collected; or
- (2) advances the commercial interests of the covered entity in ways the individual has not consented to.

(d) DUTY OF CONFIDENTIALITY.—A data fiduciary shall not disclose personal data to any third party without the affirmative consent of the individual from whom the data was collected, except as required by law, in response to lawful process, or as expressly permitted by this Act.

(e) NO PROPERTY OR POSSESSORY INTEREST.—Collection or maintenance of personal data does not confer ownership, possessory interest, or property interest upon the covered entity. Cross-reference: section 3(d) constitutional foundation.

(f) DURATION OF FIDUCIARY DUTIES.—The fiduciary duties established under this section attach upon collection of personal data and continue until the data is deleted in accordance with the user's request, the user's consent expires, or the data is no longer maintained by the covered entity, whichever occurs first.

TITLE I – DATA PORTABILITY

SEC. 101. DATA PORTABILITY RIGHT.

- (a) RIGHT TO RECEIVE DATA.—An individual has the right to receive, upon request, all user-provided and observed data the covered entity maintains concerning the individual, in a structured, commonly used, and machine-readable format.
- (b) RIGHT TO DIRECT TRANSFER.—An individual has the right to direct a covered entity to transmit user-provided and observed data concerning the individual to another covered entity, where technically feasible, in a structured, commonly used, and machine-readable format.
- (c) RIGHT TO DELETION.—An individual has the right to request deletion of personal data the covered entity maintains concerning the individual, subject to such retention as is required by law or legitimate operational necessity that has been disclosed to the user.
- (d) TIMELINE.—A covered entity shall fulfill any request under subsection (a), (b), or (c) within [TBD] days of receipt of a verified request.

SEC. 102. SCOPE OF PORTABILITY – USER-PROVIDED AND OBSERVED DATA ONLY.

- (a) USER-PROVIDED DATA.—User-provided data, as defined in section 4(k), is included within the data portability right.
- (b) OBSERVED DATA.—Observed data, as defined in section 4(i), is included within the data portability right.
- (c) INFERRED DATA EXCLUDED.—Inferred data, as defined in section 4(f), is NOT included within the data portability right. Inferred data constitutes the analytical output of the covered entity and is the expressive content of the covered entity, which Title I does not compel covered entities to transmit. (See section 3(c).)
- (d) PLATFORM EDITORIAL PRODUCTS EXCLUDED.—Curated feeds, recommendation rankings, algorithmic decisions, and other expressive products of the covered entity are NOT included within the data portability right. Cross-reference to section 3(b) Moody distinction.
- (e) GDPR ALIGNMENT.—The scope of the data portability right under this Act is intended to align with Article 20 of the European Union General Data Protection Regulation, which similarly excludes inferred data from the right of portability.

SEC. 103. TECHNICAL STANDARDS.

- (a) STANDARDIZED FORMATS.—The Commission shall, by rulemaking, establish technical standards for the format of data transmitted under this title, including formats based on JSON, CSV, or other open machine-readable formats.
- (b) DIRECT-TRANSFER PROTOCOLS.—The Commission shall, by rulemaking, establish protocols for direct transmission of data from one covered entity to another under section 101(b).
- (c) GDPR ALIGNMENT.—Technical standards established under this section shall, to the extent practicable, align with technical standards established under the European Union General Data Protection Regulation.
- (d) IMPLEMENTATION TIMELINE.—Initial technical standards under this section shall be published not later than [TBD] months after the date of enactment of this Act, with covered entities required to comply not later than [TBD] months after publication.

TITLE II – CONSENT REQUIREMENTS

SEC. 201. MEANINGFUL CONSENT STANDARD.

(a) GENERAL REQUIREMENT.—No covered entity may collect personal data from any individual without the meaningful consent of that individual, as defined in section 4(g). Each element of meaningful consent is individually required.

(b) SPECIFIC.—Consent shall be specific to a particular use of the personal data. Blanket consent to all data uses, or consent to all uses described in a covered entity's privacy policy, does not satisfy this section.

(c) INFORMED.—Consent shall be informed by a clear, prominent, and plain-language disclosure of—

- (1) the categories of personal data to be collected;
- (2) the specific use of the personal data;
- (3) any third party with whom the personal data will be shared;
- (4) the duration of the consent; and
- (5) the user's right to withdraw consent.

(d) FREELY GIVEN.—Consent shall be freely given without coercion, dark patterns, or impairment of the user's ability to use the covered entity's core service.

(e) REVOCABLE.—Consent shall be revocable at any time without penalty or impairment of the user's ability to use the covered entity's core service. Withdrawal mechanisms shall meet the standards established in section 203.

SEC. 202. PROHIBITED PRACTICES.

(a) PRE-CHECKED CONSENT BOXES.—A covered entity may not present consent options with any consent option pre-checked, pre-selected, or otherwise set as a default.

(b) BURIED CONSENT.—A covered entity may not bury material consent provisions in terms of service or other lengthy disclosure documents. Material consent provisions shall be presented separately and prominently.

(c) DARK PATTERNS.—A covered entity may not employ dark patterns, as defined in section 4(d), in any consent flow.

(d) BLANKET ACCESS CONDITIONING.—A covered entity may not condition access to its core service on consent to data uses unrelated to the core service. Tying consent to commercial uses of personal data beyond the core service to access of the core service violates this subsection.

(e) REPEATED RE-PROMPTING.—After a user has declined consent, a covered entity may not present additional prompts to the same user requesting the same consent for a period of not less than 12 months, except in response to an affirmative user request to reconsider.

SEC. 203. CONSENT WITHDRAWAL.

(a) WITHDRAWAL MECHANISM.—Each covered entity shall provide a mechanism for the user to withdraw any previously given consent. The withdrawal mechanism shall be at least as prominent and accessible as the mechanism by which the consent was originally provided.

(b) IMMEDIATE EFFECT.—Withdrawal of consent shall be effective immediately upon receipt by the covered entity. The covered entity shall cease the consented-to use of personal data not later than 30 days following withdrawal.

(c) NO DEGRADATION OF CORE SERVICE.—Withdrawal of consent for any data use beyond the core service shall not result in degradation of the user's continued access to the core service.

(d) CONFIRMATION RECEIPT.—The covered entity shall provide the user

with a confirmation receipt acknowledging the withdrawal of consent and the date on which the covered entity ceased the consented-to use.

SEC. 204. SENSITIVE DATA.

(a) DEFINITION.—For purposes of this section, "sensitive data" means personal data concerning—

- (1) health, medical, mental health, or genetic information;
- (2) biometric identifiers, including fingerprints, facial geometry, and voiceprints;
- (3) financial account information, transaction history, or creditworthiness;
- (4) precise geolocation data;
- (5) the personal data of a minor;
- (6) racial or ethnic origin, religious beliefs, philosophical beliefs, sexual orientation, or gender identity; and
- (7) such additional categories as the Commission may identify by rulemaking.

(b) HEIGHTENED CONSENT REQUIREMENTS.—Sensitive data may only be collected, used, or disclosed pursuant to affirmative opt-in consent that meets the requirements of section 201 and is specific to the sensitive data category.

(c) NO OPT-OUT STRUCTURE.—Sensitive data may not be collected, used, or disclosed pursuant to an opt-out consent structure under any circumstance.

(d) USE LIMITATIONS.—Sensitive data may not be used for behavioral advertising under any circumstance, regardless of consent.

TITLE III – ENFORCEMENT AND PENALTIES

SEC. 301. FTC ENFORCEMENT AUTHORITY.

(a) IN GENERAL.—Violations of this Act are unfair or deceptive acts or practices in violation of section 5 of the Federal Trade Commission Act (15 U.S.C. § 45). The Commission shall enforce this Act in accordance with the Federal Trade Commission Act and the express civil-penalty authority granted by this section.

(b) EXPRESS CIVIL PENALTY AUTHORITY.—Pursuant to section 3(f) and consistent with *AMG Capital Management, LLC v. FTC*, 593 U.S. 67 (2021), the Commission shall have express civil penalty authority for violations of this Act. The Commission may assess civil penalties without obtaining such authority by separate statutory action.

(c) CIVIL PENALTY STRUCTURE.—Civil penalties for violations of this Act are—

- (1) for covered entities with annual revenue under \$50,000,000: not more than \$[TBD] per violation;
- (2) for covered entities with annual revenue between \$50,000,000 and \$1,000,000,000: the greater of \$[TBD] per violation or [TBD] percent of annual revenue; and
- (3) for covered entities with annual revenue exceeding \$1,000,000,000: the greater of \$[TBD] per violation or [TBD] percent of annual global revenue.

(d) AGGRAVATED VIOLATIONS.—Civil penalties under subsection (c) shall be tripled for violations that—

- (1) are willful;
- (2) involve sensitive data as defined in section 204(a);
- (3) involve the personal data of a minor; or

(4) are part of a systemic pattern or practice.

(e) RULEMAKING AUTHORITY.—The Commission shall have rulemaking authority under this Act, exercised in accordance with section 3(e) statutory precision requirements and section 553 of title 5, United States Code.

SEC. 302. CRIMINAL PENALTIES.

(a) IN GENERAL.—Any person who willfully violates this Act through the mass unauthorized collection, sale, or sharing of personal data of [TBD] or more individuals shall be guilty of a Federal offense.

(b) PENALTY STRUCTURE.—An offense under subsection (a) is punishable by—

- (1) a fine of not more than \$[TBD]; or
- (2) imprisonment for not more than [TBD] years; or
- (3) both fine and imprisonment.

(c) AGGRAVATED CRIMINAL VIOLATIONS.—Where a violation under subsection (a) involves sensitive data as defined in section 204(a) or the personal data of a minor, the maximum imprisonment under subsection (b)(2) is increased to [TBD] years.

(d) DOJ ENFORCEMENT.—Prosecutions under this section shall be conducted by the Department of Justice. The Commission shall refer to the Department of Justice violations of this Act that the Commission determines warrant criminal prosecution.

SEC. 303. PRIVATE RIGHT OF ACTION.

(a) PHASED IMPLEMENTATION – YEAR 1.—For violations occurring during the first year following the date on which the Commission's initial rulemaking under this Act becomes effective, an individual whose personal data has been used in violation of this Act may bring a civil action only for willful violations.

(b) FULL IMPLEMENTATION – YEAR 2 AND THEREAFTER.—Beginning two years after the date on which the Commission's initial rulemaking under this Act becomes effective, an individual whose personal data has been used in violation of this Act may bring a civil action for any violation of this Act.

(c) JURISDICTION.—Civil actions under this section may be brought in any United States district court of competent jurisdiction.

(d) STATUTORY DAMAGES.—An individual prevailing in a civil action under this section is entitled to—

- (1) statutory damages of not less than \$[TBD] per violation;
- (2) actual damages, where greater than statutory damages;
- (3) injunctive relief; and
- (4) reasonable attorney's fees and costs.

(e) CLASS ACTIONS.—Nothing in this section limits the availability of class action procedures under rule 23 of the Federal Rules of Civil Procedure.

SEC. 304. STATE ATTORNEY GENERAL ENFORCEMENT.

(a) IN GENERAL.—The attorney general of any State may bring a civil action in any United States district court of competent jurisdiction on behalf of residents of that State to enforce this Act.

(b) FTC COORDINATION.—The Commission shall be notified of any State enforcement action brought under subsection (a) within 30 days of filing. The Commission may intervene in any such action upon notice to the parties.

(c) NO PREEMPTION OF STRONGER STATE LAW.—Nothing in this Act preempts or limits any State law that provides equal or greater protection to

individuals with respect to personal data collection, use, disclosure, or compensation.

TITLE IV – DATA COMPENSATION FRAMEWORK

SEC. 401. COMPENSABLE DATA USES.

- (a) IN GENERAL.—Where a covered entity uses personal data of a user for a commercial purpose beyond the covered entity's core service, the user is entitled to notice and, in qualifying circumstances, to compensation under this title.
- (b) CORE SERVICE DEFINED.—For purposes of this title, "core service" means the primary functionality of the covered entity's product or service for which the user has provided meaningful consent under Title II. The Commission shall, by rulemaking, establish standards for distinguishing core service uses from compensable uses.
- (c) COMPENSABLE COMMERCIAL USES.—Compensable commercial uses include—
 - (1) sale of personal data to a third party;
 - (2) licensing of personal data to a third party for commercial purposes;
 - (3) use of personal data in training or fine-tuning a generative artificial intelligence model offered as a separate commercial product; and
 - (4) any other use of personal data for commercial purposes beyond the core service, as the Commission may identify by rulemaking.
- (d) EXCLUSIONS.—This title does not apply to—
 - (1) use of personal data for fraud prevention, security, or compliance with law;
 - (2) use of personal data for academic or scientific research that does not generate commercial revenue;
 - (3) use of aggregated or de-identified data that cannot reasonably be linked to an individual; or
 - (4) use of personal data for the covered entity's own internal analytics, where the analytics output is not separately commercialized.

SEC. 402. NOTICE REQUIREMENT.

- (a) IN GENERAL.—Before any compensable commercial use of personal data under section 401, the covered entity shall provide to the user—
 - (1) a clear and prominent disclosure of the proposed use;
 - (2) the identity of any third party to whom the data will be sold, licensed, or transferred;
 - (3) the duration of the proposed use;
 - (4) the compensation, if any, the user is entitled to under section 403; and
 - (5) a meaningful opportunity to decline the proposed use without impairment of the user's continued access to the core service.
- (b) FORMAT.—Notice under this section shall be provided in a standardized format established by the Commission by rulemaking. The format shall be designed for accessibility and clarity, and shall not be susceptible to dark patterns as defined in section 4(d).
- (c) RECORD RETENTION.—The covered entity shall maintain records of notices provided and user responses for a period of not less than five years, available to the Commission upon request.

SEC. 403. COMPENSATION STRUCTURE.

- (a) REGULATORY PRICING FRAMEWORK.—Compensation under this title

operates as regulatory pricing established by the Commission, analogous to the Federal Communications Commission rate regulation framework and compulsory copyright licensing under sections 111 and 115 of title 17, United States Code. Compensation under this title is not a Taking of covered entity property within the meaning of the Fifth Amendment. Cross-reference to section 3(d) constitutional foundation.

(b) RULEMAKING AUTHORITY.—The Commission shall, by rulemaking, establish a compensation methodology that—

- (1) reflects the commercial value of the personal data use;
- (2) is administrable at scale across covered entities;
- (3) avoids confiscatory rates within the meaning of *Verizon Communications Inc. v. FCC*, 535 U.S. 467 (2002), and *Federal Power Commission v. Hope Natural Gas Co.*, 320 U.S. 591 (1944); and
- (4) provides covered entities reasonable advance notice of rate changes.

(c) TIERED COMPENSATION.—The Commission may establish tiered compensation rates that account for—

- (1) the category of personal data used;
- (2) the duration of the use;
- (3) the scale of users affected; and
- (4) the commercial revenue derived from the use.

(d) AGGREGATION AND DISBURSEMENT.—The Commission shall establish a mechanism for aggregating compensation entitlements and disbursing payments to users. The mechanism may be administered by the Commission directly, by a private entity designated by the Commission, or through such other arrangement as the Commission determines administrable.

(e) DE MINIMIS THRESHOLD.—The Commission may establish a de minimis threshold below which individual compensation is held in trust by the covered entity until the user's accumulated entitlement exceeds the threshold, at which time disbursement is made.

SEC. 404. ENFORCEMENT AND PRIVATE RIGHT OF ACTION.

(a) FTC ENFORCEMENT.—Violations of this title are subject to the enforcement authority of the Commission under section 301.

(b) PRIVATE RIGHT OF ACTION.—An individual whose personal data has been used in violation of this title may bring a civil action in any United States district court of competent jurisdiction. Available relief includes the compensation owed under section 403, statutory damages of not less than \$[TBD] per violation, reasonable attorney's fees, and injunctive relief.

(c) STATE ATTORNEY GENERAL ENFORCEMENT.—The attorney general of any State may bring a civil action in any United States district court of competent jurisdiction to enforce this title on behalf of residents of that State.

(d) NO PRECLUSION OF STATE LAW.—Nothing in this title preempts or precludes State law that provides equal or greater protection to users with respect to compensation for commercial use of personal data.

TITLE V – DIGITAL MINOR PROTECTION STANDARDS

SEC. 501. SCOPE AND APPLICATION.

(a) APPLICATION.—This title applies to any covered entity that

operates a platform or service used by minors, as defined in section 4(h).

(b) THREE-TIER FRAMEWORK.—This title establishes a three-tier age-band framework for minor user protections, with tier-specific requirements matched to the developmental status and First Amendment posture of each age band.

(c) MOODY DISTINCTION CROSS-REFERENCE.—This title is enacted under the framework established by section 3(b), which distinguishes default-rule architecture preserving user choice from categorical prohibitions on protected expression. Title V provisions are designed as default rules or as enhancements of existing COPPA requirements, not as categorical prohibitions on protected expression.

(d) DEFINITIONS CROSS-REFERENCE.—Terms used in this title are defined in section 4.

SEC. 502. AGE TIER DEFINITIONS.

(a) TIER ONE.—"Tier One" refers to users under 13 years of age, subject to the heightened protections of section 503 in addition to the Children's Online Privacy Protection Act (15 U.S.C. § 6501 et seq.).

(b) TIER TWO.—"Tier Two" refers to users between 13 and 15 years of age (inclusive), subject to the default-chronological-with-opt-in protections of section 504.

(c) TIER THREE.—"Tier Three" refers to users 16 and 17 years of age, subject to the default-rule and disclosure protections of section 505.

SEC. 503. TIER ONE – USERS UNDER 13.

(a) ENHANCED COPPA COMPLIANCE.—Covered entities operating platforms or services used by Tier One users shall comply with the Children's Online Privacy Protection Act and the Federal Trade Commission regulations implementing that Act, as supplemented by this section.

(b) VERIFIABLE PARENTAL CONSENT.—Verifiable parental consent shall be obtained before any collection of personal data from a Tier One user. Self-declaration, checkbox-only consent, and other unverified consent mechanisms do not satisfy this subsection.

(c) BEHAVIORAL ADVERTISING PROHIBITED.—Behavioral advertising, as defined in section 4(b), may not be delivered to a Tier One user under any circumstance.

(d) ALGORITHMIC FEED PROHIBITED.—Algorithmic feeds, as defined in section 4(a), may not be presented to a Tier One user under any circumstance. Tier One users shall receive content presented in chronological, reverse-chronological, or user-curated order only.

(e) REVENUE-BASED PENALTY STRUCTURE.—Civil penalties for violations of this section shall be assessed under section 301(c) without any fixed-dollar maximum cap. Aggravated violation tripling under section 301(d)(3) applies to all Tier One violations.

SEC. 504. TIER TWO – USERS AGES 13 THROUGH 15.

(a) DEFAULT FEED PRESENTATION.—For each user who is between 13 and 15 years of age (inclusive), the default content presentation on any covered platform shall be chronological or reverse-chronological. The user may not be enrolled in an algorithmic feed by default.

(b) OPT-IN TO ALGORITHMIC FEED.—A user described in subsection (a) may opt in to an algorithmic feed presentation only if—

(1) the user has affirmatively selected the algorithmic feed in

response to a clear, neutral, prominently presented choice that is not preceded or accompanied by dark patterns;

(2) the covered platform has provided the user with a clear and plain-language explanation of how the algorithmic feed selects content, including the categories of data used; and

(3) the covered platform has provided contemporaneous notification to a parent or legal guardian of the user, where the user has verified parental contact information on the platform.

(c) **DEFAULT BEHAVIORAL ADVERTISING.**—Behavioral advertising shall not be delivered to a user described in subsection (a) by default. A user described in subsection (a) may consent to behavioral advertising only through the opt-in process described in subsection (b)(1) and (b)(2), with parental notification under subsection (b)(3).

(d) **CONTEXTUAL ADVERTISING PERMITTED.**—Contextual advertising, as defined in section 4(b), is permitted as to users described in subsection (a) without opt-in.

(e) **WITHDRAWAL OF OPT-IN.**—A user described in subsection (a) who has opted in under subsection (b) may withdraw that opt-in at any time through a mechanism that is at least as prominent and accessible as the mechanism by which the opt-in was provided. Withdrawal returns the user to the default chronological presentation.

(f) **PROHIBITION ON CIRCUMVENTION.**—A covered platform may not present a user described in subsection (a) with repeated prompts to opt in, designed reminders, gamified incentives, or any other mechanism intended to circumvent the protective default established by this section.

(g) **ANNUAL ALGORITHMIC IMPACT ASSESSMENT.**—Each covered platform shall publish annually an algorithmic impact assessment for users described in subsection (a) who have opted in under subsection (b). The assessment shall describe the data inputs used by the algorithmic feed, aggregate engagement effects, and any documented mental health or wellbeing effects. The assessment shall be publicly available.

(h) **CONSTITUTIONAL FOUNDATION.**—This section is enacted under the framework established by section 3, which distinguishes default-rule architecture preserving user choice from categorical prohibitions on protected expression. The default-chronological-with-opt-in architecture of this section is the body-baked safe architecture identified by Part III of the bill framework, designed to address the documented harms identified in section 2(a)(4) while preserving user autonomy and minor users' First Amendment rights consistent with *Brown v. Entertainment Merchants Association*, 564 U.S. 786 (2011).

SEC. 505. TIER THREE – USERS AGES 16 AND 17.

(a) **DEFAULT FEED PRESENTATION.**—For each user who is 16 or 17 years of age, the default content presentation on any covered platform shall be chronological or reverse-chronological. The user may opt in to an algorithmic feed presentation under the procedures of this section.

(b) **OPT-IN TO ALGORITHMIC FEED.**—A user described in subsection (a) may opt in to an algorithmic feed presentation if—

(1) the user has affirmatively selected the algorithmic feed; and

(2) the covered platform has provided the user with a clear and plain-language explanation of how the algorithmic feed selects content, including the categories of data used.

Parental notification is not required for users described in subsection (a).

(c) **OPT-IN BEHAVIORAL ADVERTISING.**—Behavioral advertising may be delivered to a user described in subsection (a) only with the user's

affirmative opt-in consent meeting the standards of section 201.

(d) ANNUAL ALGORITHMIC IMPACT ASSESSMENT.—The annual algorithmic impact assessment required under section 504(g) shall include aggregate data for users described in subsection (a) who have opted in under subsection (b).

(e) WITHDRAWAL OF OPT-IN.—A user described in subsection (a) may withdraw any opt-in given under this section at any time, with the withdrawal mechanism meeting the standards of section 504(e).

SEC. 506. PRIVACY-PRESERVING AGE VERIFICATION.

(a) IN GENERAL.—For purposes of determining a user's age tier under this title, covered platforms shall use a privacy-preserving age verification mechanism in which a third-party verifier provides only an age token to the covered platform.

(b) NO UNDERLYING IDENTITY DATA.—The covered platform may receive only the age token; the covered platform may not receive the underlying identity information used by the third-party verifier to establish the user's age.

(c) FTC RULEMAKING AUTHORITY.—The Commission shall, by rulemaking, establish technical standards for the age verification token system, including requirements for the third-party verifier to maintain user privacy and limit data retention.

(d) FREE SPEECH COALITION COMPLIANCE.—The age verification system established under this section is designed to comply with the framework established in *Free Speech Coalition v. Paxton* (2025), under which age verification within narrowly drawn statutory zones may be constitutional. The token-based architecture minimizes the burden on First Amendment activity by avoiding direct disclosure of underlying identity information.

SEC. 507. ENFORCEMENT.

(a) REVENUE-BASED PENALTY STRUCTURE.—Civil penalties for violations of this title shall be assessed under section 301(c) without any fixed-dollar-only cap.

(b) AGGRAVATED PENALTIES.—Aggravated violation tripling under section 301(d)(2) applies to all violations involving Tier One user data, and aggravated violation tripling under section 301(d)(3) applies to all violations involving any minor user data.

(c) SYSTEMIC VIOLATION ENHANCEMENT.—Where the Commission finds a pattern or practice of violations of this title, the Commission may impose additional remedies including injunctive relief, suspension of specific platform features, and structural compliance orders.

(d) SEVERABILITY.—Cross-reference to section 3(g)(1) — if any provision of this title is held invalid, Titles I through IV shall remain in full force and effect.

TITLE VI — IMPLEMENTATION AND OVERSIGHT

SEC. 601. IMPLEMENTATION TIMELINE.

(a) TITLE I — DATA PORTABILITY.—Title I shall be operational not later than [TBD] months after the date of enactment of this Act. Initial Commission rulemaking under section 103 shall be completed not later than [TBD] months after enactment.

(b) TITLE II — CONSENT.—Title II shall take effect on the date of

enactment, with covered entities required to bring existing consent flows into compliance not later than [TBD] months after enactment.

(c) TITLE III – ENFORCEMENT.—Title III shall take effect on the date of enactment, with the Commission's initial rulemaking under section 301(e) completed not later than [TBD] months after enactment. The private right of action under section 303 phases in as provided in that section.

(d) TITLE IV – COMPENSATION.—Title IV shall be operational not later than [TBD] months after the Commission completes initial rulemaking under section 403(b). Notice requirements under section 402 take effect upon Commission rulemaking completion.

(e) TITLE V – MINOR PROTECTION.—Title V shall be operational not later than [TBD] months after the date of enactment of this Act, with privacy-preserving age verification under section 506 operational not later than [TBD] months after enactment.

(f) PHASED COMPLIANCE FOR SMALL COVERED ENTITIES.—Covered entities with annual revenue below \$50,000,000 shall have an extended compliance period of an additional 18 months for each title's operational date, except that Title V shall be effective on the date established under subsection (e) for all covered entities.

SEC. 602. FTC RULEMAKING AUTHORITY AND COORDINATION.

(a) RULEMAKING AUTHORITY.—The Commission has rulemaking authority under this Act, exercised in accordance with section 553 of title 5, United States Code, and the statutory precision requirements of section 3(e).

(b) STATE COORDINATION.—The Commission shall coordinate with State attorneys general on enforcement under section 304 and on State law interactions consistent with the no-preemption-of-stronger-State-law framework of section 304(c).

(c) GDPR ALIGNMENT CONSULTATION.—The Commission shall consult, on at least an annual basis, with the relevant data protection authorities of the European Union and other major international jurisdictions to coordinate on technical standards, definitions, and operational requirements consistent with section 3(h) GDPR alignment principle.

(d) ANNUAL RULEMAKING STATUS REPORT.—The Commission shall transmit annually to Congress a status report on rulemaking under this Act, including any provisions where rulemaking has been delayed or where additional statutory authority is needed.

SEC. 603. INTERAGENCY COORDINATION.

(a) FTC LEAD AGENCY.—The Commission shall serve as the lead agency for this Act, except as expressly provided otherwise in this section.

(b) DOJ COORDINATION FOR CRIMINAL ENFORCEMENT.—The Department of Justice shall be the lead agency for criminal enforcement under section 302. The Commission shall coordinate with the Department of Justice on referral, investigation, and prosecution of criminal violations.

(c) TREASURY COORDINATION FOR COMPENSATION TAXATION.—The Department of the Treasury shall coordinate with the Commission on the tax treatment of compensation paid to users under section 403, including issuance of guidance on whether such compensation constitutes ordinary income, royalty income, or other tax category.

(d) HHS COORDINATION FOR HEALTH-DATA SENSITIVE PROVISIONS.—The Department of Health and Human Services shall coordinate with the Commission on sensitive data provisions under section 204(a)(1)

where they intersect with the Health Insurance Portability and Accountability Act framework.

SEC. 604. ANNUAL REPORTING.

(a) ANNUAL REPORT.—The Commission shall transmit annually to Congress a report containing—

- (1) enforcement activities under this Act, including civil penalties assessed and judgments obtained;
- (2) rulemaking activities and rulemaking status;
- (3) compliance trends across covered entities;
- (4) aggregated algorithmic impact assessment data submitted under sections 504(g) and 505(d);
- (5) Title IV compensation aggregation and disbursement statistics; and
- (6) any recommendations for further congressional action.

(b) PUBLIC AVAILABILITY.—The annual report shall be transmitted to Congress and posted publicly on a website maintained by the Commission not later than 30 days after submission to Congress.

(c) THREE-YEAR PROGRAM REVIEW.—Not later than three years after the date of enactment of this Act, and every three years thereafter, the Commission shall transmit to Congress a comprehensive program review covering the operation of this Act, including any structural recommendations for amendment.

(d) GAO COORDINATION.—The Comptroller General of the United States shall have access to all Commission data and records necessary to perform audits, evaluations, and reports requested by the relevant Committees of Congress.

[All dollar amounts, employee-count thresholds, percentage thresholds, duration thresholds, IRC section cross-references, and additional sensitive data categories marked [TBD] require resolution by licensed legislative counsel, the Federal Trade Commission Office of General Counsel, the Department of Justice Office of Legal Counsel, the National Telecommunications and Information Administration, and the Congressional Budget Office before introduction as formal legislation. See Part III counsel notes.]

Part III — Notes for Congressional Counsel

All [TBD] items and constitutional / statutory questions below require resolution before introduction. DRDO carries First Amendment exposure (Moody v. NetChoice / Sorrell / Zauderer-NIFLA / 303 Creative), Takings exposure (Ruckelshaus / Cedar Point) on Title IV compensation, and Loper Bright statutory precision pressure across FTC rulemaking. The Sec 3 + Sec 504 fallback ladder entry documents the Architecture C-equivalent posture established in this bill — body-baked safe architecture (Sec 504 default-chronological-with-opt-in implementing the Part III redesign directive) with severability fallback (Sec 3(g) four-track preservation). DOJ Office of Legal Counsel review is required before introduction given the litigated state-scheme injunction landscape.

Item Requiring Resolution	Guidance
Sec 3 + Sec 504 — First Amendment fallback ladder (Architecture C-equivalent) [Sources 231, 233, 236, 237, 240]	Architecture: Architecture C-equivalent (body-baked safety with severability fallback). Sec 504 implements the Part III redesign directive as the body-baked safe architecture — default chronological with opt-in to algorithmic feed, parental notification on opt-in. This IS the safe architecture, not a fallback layer. Sec 3(g) severability provides the fallback layer if Title V is struck despite the redesigned architecture. (1) Primary structure. Sec 504 default-chronological-with-opt-in for 13–15 users, anchored by Sec 3(b) Moody distinction (default rule, not editorial restriction). Brown v. EMA, 564 U.S. 786 (2011), framework compliance through user choice preservation. Free Speech Coalition v. Paxton (2025) framework compliance for age verification (Sec 506). CAADCA Round 2 (NetChoice v. Bonta, 9th Cir. Mar. 2026) controlling rule applied: coverage definitions tied to audience-demographic measures survive facial challenge. (2) Mid-level fallback if Sec 504 default-rule architecture is held to compel expression: counsel should have ready a transparency-and-disclosure-only amendment — the platform must publish algorithmic feed methodology, data inputs, and aggregate engagement effects, but no default-feed presentation requirement. This further reduces First Amendment exposure to disclosure-only under Zauderer/NIFLA. (3) Bottom-level fallback. Sec 3(g)(1) severability preserves Titles I–IV independently if Title V is struck in whole or in part. Data portability, consent, enforcement, and compensation framework continue operating without the Title V minor protections. Title V can be re-introduced in a subsequent Congress with revised architecture if struck. (4) Pre-introduction engagement: DOJ Office of Legal Counsel review recommended on Title V architecture given the Mississippi/Utah/Arkansas/Ohio injunction landscape. Senate Judiciary First Amendment constitutional counsel pre-introduction briefing recommended. The deliberate posture — implementing Part III's redesign directive in operative bill text rather than the categorical prohibition that has been enjoined in every litigated state scheme — is the prepared response, not concealment of risk.

Item Requiring Resolution	Guidance
Moody v. NetChoice (2024) — platform editorial expression [Source 231]	Moody v. NetChoice, LLC, 603 U.S. 707 (2024), vacated and remanded 9-0 the Florida and Texas social media laws. Part III-B (5 votes, Kagan, J.) held platform content curation is First Amendment-protected editorial expression. The decision did NOT resolve whether all algorithmic outputs (especially pure recommender systems) are expressive, or whether laws regulating algorithmic inputs (data) trigger heightened review. Sec 3(b) operationalizes the Moody distinction. The data fiduciary framing in Titles I-IV operates in the space Moody left open — these titles regulate data conduct, not editorial expression. The Sec 504 default-rule architecture is conduct regulation analogous to default rules, not restriction on protected editorial expression. Counsel should ensure no provision is drafted in a manner that could be read as conditioning, requiring, or prohibiting any editorial judgment.
Title V 13-15 redesign directive — SATISFIED in body [Sources 231, 236, 237]	Status: Resolved. The original Part III "REDESIGN REQUIRED" directive on the Tier Two categorical algorithmic-feed prohibition is now implemented in operative bill text at Sec 504 (default-chronological-with-opt-in). Brown v. EMA, 564 U.S. 786 (2011), controlled the analysis: minors retain First Amendment rights; protecting minors from ideas a legislature thinks unsuitable is NOT a compelling interest; empirical causation (not correlation) is required. Litigation map (April 2026): Utah Social Media Regulation Act enjoined (10th Cir. pending); Arkansas Acts 689/900/901 permanently enjoined (8th Cir. pending); Ohio Parental Notification Act permanently enjoined (6th Cir. pending); Mississippi HB 1126 multiply enjoined, SCOTUS denied vacatur Aug. 2025 (Kavanaugh: "likely unconstitutional"). The DRDO Sec 504 default-rule architecture is structurally distinguishable from each of these enjoined state schemes because it preserves user choice through opt-in rather than imposing categorical prohibition. Sec 2(a)(4) Findings cite peer-reviewed CAUSATION evidence (not correlation) to survive the Brown v. EMA evidentiary standard.
CAADCA litigation — most directly applicable precedent [Source 233]	NetChoice v. Bonta (CAADCA) has completed two Ninth Circuit rounds. Round 1 (Aug. 2024): DPIA requirement STRUCK as compelled speech — narrative assessments clearly compel speech by requiring covered businesses to opine on potential harm to children. Round 2 (Mar. 12, 2026): coverage definition upheld as facially valid; best-interests data-use restrictions and dark-patterns provisions invalidated. Controlling rule for DRDO: DPIA-style compelled narrative assessments are compelled speech under NIFLA; coverage definitions tied to audience-demographic (not content) measures survive facial challenge. DRDO drafting compliance: Sec 504(g) annual algorithmic impact assessment is structured as factual disclosure (data inputs, engagement effects, documented health effects) rather than narrative opinion on potential harm. Sec 4(c) coverage definition is tied to user count and revenue thresholds — audience-demographic measures, not content. Sec 202(c) dark-patterns prohibition is drafted with definitional precision (Sec 4(d)) rather than open-ended.

Item Requiring Resolution	Guidance
Sorrell v. IMS Health — data fiduciary framing as constitutional anchor [Source 205]	Sorrell v. IMS Health, Inc., 564 U.S. 552 (2011), held that restrictions on commercial data use targeting specific speakers and content face heightened First Amendment scrutiny. DRDO's data-fiduciary framing — drawing on Balkin (2016) — avoids Sorrell exposure by establishing generally applicable fiduciary duties rather than content- or speaker-specific data-use bans. Sec 3(a) anchors this framework in operative bill text. Drafting compliance check: the fiduciary framing has not been definitively tested in any circuit. DRDO drafters must ensure no provision discriminates by content or speaker — e.g., treating marketing use of identical data differently from research use creates Sorrell exposure immediately. Sec 401(d) exclusions for fraud prevention, security, and academic research are drafted as general-applicability exemptions tied to use-purpose rather than content. Sec 5 fiduciary duties apply uniformly across all covered entities and all data uses.
Title I data portability — Zauderer/NIFLA framework [Sources 234, 235, 240]	Data portability is best analyzed as regulation of conduct/transmission rather than compelled commercial speech — the data transferred are the user's own data, not the platform's expressive content. Zauderer v. Office of Disciplinary Counsel, 471 U.S. 626 (1985), permits compelled disclosure of purely factual and uncontroversial information under rational basis. NIFLA v. Becerra, 585 U.S. 755 (2018), narrowed Zauderer — requires disclosures to be not unjustified or unduly burdensome. 303 Creative limit (Sec 102 scope limitation). 303 Creative LLC v. Elenis, 600 U.S. 570 (2023), held that compelled expressive content violates the First Amendment. If portability extended to inferred data, algorithmic outputs, or platform editorial products (curated feeds), it would compel the platform's own expressive content. Sec 102(c) excludes inferred data and Sec 102(d) excludes platform editorial products — these scope limitations are critical compliance and should not be relaxed during drafting. Sec 102(e) GDPR Article 20 alignment reinforces the scope limit. Specify technical formats (JSON/CSV/open machine-readable) under Sec 103 to maintain conduct-regulation framing.
Title IV compensation — regulatory-pricing drafting justification [Sources 206, 238]	Title IV implements the Part III directive that compensation be framed as regulatory pricing rather than property regulation. Sec 403(a) anchors this explicitly in operative bill text: compensation operates as regulatory pricing analogous to FCC rate regulation and compulsory copyright licensing under 17 U.S.C. §§ 111, 115. The fiduciary characterization (Sec 3(d) and Sec 5) removes any platform property claim to the data itself, defusing Ruckelshaus v. Monsanto Co., 467 U.S. 986 (1984), Takings analysis. Cedar Point Nursery distinction. Cedar Point Nursery v. Hassid, 594 U.S. 139 (2021), held physical-access mandates are per se takings. Title IV imposes no physical access — it regulates pricing of commercial uses of personal data. Verizon Communications Inc. v. FCC, 535 U.S. 467 (2002), confirmed that rate regulation alone is not a per se taking but is evaluated under Penn Central balancing. Sec 403(b)(3) explicit non-confiscatory-rate guardrail addresses Hope Natural Gas Co. considerations. The compensation methodology in Sec 403(b) is delegated to the Commission under bounded statutory criteria — Loper Bright statutory precision is satisfied through the four-factor methodology guidance.

Item Requiring Resolution	Guidance
Sec 102 — data portability scope limitation (303 Creative compliance)	Sec 102(c) excludes inferred data and Sec 102(d) excludes platform editorial products from the data portability right. This scope limitation is critical for First Amendment compliance: if portability extended to inferred data, algorithmic outputs, or platform-curated feeds, Title I would compel the platform's own expressive content — directly raising 303 Creative concerns. Limiting portability to user-provided and observed data tracks GDPR Article 20 (which explicitly excludes inferences from the portability right) and preserves the conduct-regulation framing established in Sec 3(c). Counsel should review Sec 102(c)-(d) carefully — any drafting that could be read to extend portability to inferences or algorithmic outputs immediately creates 303 Creative exposure and should be tightened. Sec 103 technical standards (FTC rulemaking authority for JSON/CSV/open machine-readable formats) preserves implementation flexibility while maintaining the conduct-regulation framing.
GDPR alignment strategy (Sec 3(h))	Sec 3(h) anchors GDPR alignment as a construction principle in operative bill text. Where definitions and operative standards under DRDO are susceptible of multiple constructions, the construction that aligns with the GDPR is preferred, provided such construction is consistent with statutory text and purpose. Operational benefits. Covered entities already GDPR-compliant face reduced incremental burden. GDPR Article 20 data portability right (user-provided and observed data only — explicitly excludes inferences and algorithmic outputs) is the DRDO portability scope ceiling (Sec 102(e)) to avoid 303 Creative compelled-expression exposure. Sec 602(c) operationalizes GDPR alignment through annual Commission consultation with EU data protection authorities. Counsel should review DRDO definitions in Sec 4 against current GDPR definitions and update any definitions that drift from GDPR alignment.
FTC rulemaking — AMG Capital and Loper Bright	Post-AMG Capital Management, LLC v. FTC, 593 U.S. 67 (2021), the Commission requires express statutory authority for civil penalty assessment. Sec 3(f) and Sec 301(b) anchor this express authority directly in operative bill text — the Commission has civil penalty authority for violations of this Act without obtaining such authority by separate statutory action. Post-Loper Bright statutory precision. Loper Bright Enterprises v. Raimondo, 603 U.S. 369 (2024), overruled Chevron deference. Federal courts now apply de novo review to agency interpretations of ambiguous statutory provisions. Sec 3(e) anchors the statutory precision requirement in operative bill text. Counsel should review every "the Commission shall, by regulation" provision against Loper Bright — where discretion is intended, it should be expressly bounded; where ministerial application is intended, the statutory language should leave no interpretive ambiguity. Every definitional ambiguity in Sec 4 will be resolved by courts independently; draft with maximum specificity.

Item Requiring Resolution	Guidance
Private right of action (Sec 303) — phased implementation	Sec 303 implements the tiered approach: private right of action for willful violations only in Year 1 (Sec 303(a)), expanding to all violations after FTC rulemaking is complete (Sec 303(b)). California CCPA/CPRA and Virginia VCDPA provide State-level precedent for tiered private right of action structures. Statutory damages of \$[TBD] per violation under Sec 303(d)(1) provide meaningful enforcement leverage even where actual damages are difficult to quantify. Severability cross-reference. Sec 3(g) severability ensures that if specific elements of the private right of action structure are struck — including any element of statutory damages, attorney's fees, or jurisdictional grant — the remaining elements survive. Sec 303(e) preservation of class action procedures under Federal Rule 23 is critical to enforcement scalability. State AG enforcement under Sec 304 provides parallel enforcement pathway preserving States' coordination role.
Small business threshold (Sec 4(c)) and phased compliance (Sec 601(f))	Sec 4(c) covered entity threshold of \$25,000,000 annual revenue (with sole-proprietor and nonprofit carve-outs) is a reasonable threshold for distinguishing covered entities from small businesses that face compliance burden disproportionate to their data footprint. The GDPR €250 employee / €50M revenue threshold provides international benchmark. Sec 601(f) phased compliance for covered entities with annual revenue below \$50,000,000 provides an additional 18 months for each title's operational date — except Title V minor protection, which is effective on the same date for all covered entities (the minor protection rationale does not vary with covered entity size). This balances enforcement feasibility with incremental burden on smaller entities. Counsel should review the small business threshold against tax-policy alignment and CBO scoring before introduction.
Revenue-based penalty structure (Sec 301(c), Sec 503(e), Sec 507(a))	EU GDPR uses 4 percent of global annual turnover as a ceiling for willful violations. Fixed-dollar penalties that do not scale are both less effective and more susceptible to constitutional void-for-vagueness challenges where amounts seem arbitrary. Sec 301(c) tiered structure (per-violation base penalty plus a global-revenue percentage cap for systemic violations) tracks the GDPR model. Sec 503(e) Tier One and Sec 507(a) Title V general — revenue-based penalties with no fixed-dollar maximum cap — reflect the heightened protective interest in minor user data. Aggravated violation tripling under Sec 301(d) provides further scaling for willful violations, sensitive data, and minor-related violations. Counsel should ensure the percentage thresholds in Sec 301(c) are calibrated to avoid Eighth Amendment excessive-fines exposure after <i>Timbs v. Indiana</i>, 586 U.S. 146 (2019).

Item Requiring Resolution	Guidance
Sensitive data heightened protections (Sec 204)	Sec 204 establishes seven categories of sensitive data with heightened consent and use limitations. The categories track GDPR Article 9 special categories of personal data while adding minor-related data and precise geolocation data — both areas where U.S. doctrine has developed protective interest. Sec 204(d) prohibition on behavioral advertising use of sensitive data, regardless of consent, reflects the heightened sensitivity rather than the consent-revocability principle that governs other data uses. Counsel review. Sensitive data categories should be reviewed against existing Federal frameworks: HIPAA for health data, FCRA for credit information, BIPA-equivalent State law for biometric data, COPPA for minor data. Sec 603(d) HHS coordination addresses the HIPAA intersection. Sec 204(a)(7) Commission rulemaking authority for additional categories preserves flexibility as new sensitive categories emerge — counsel should bound this rulemaking authority with criteria for category designation to avoid Loper Bright concerns.

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Legal disclaimer applies — see page 1. This framework requires licensed legislative counsel review before introduction.

Originally conceived and authored by a concerned American citizen. Developed with the assistance of Claude (Anthropic). The ideas belong to anyone willing to fight for them.